OB: BNOR

Current price : NOK 587.00

Target price : NOK 729.14

Stock Pitch

04/12/2024

Company Overview

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Activities

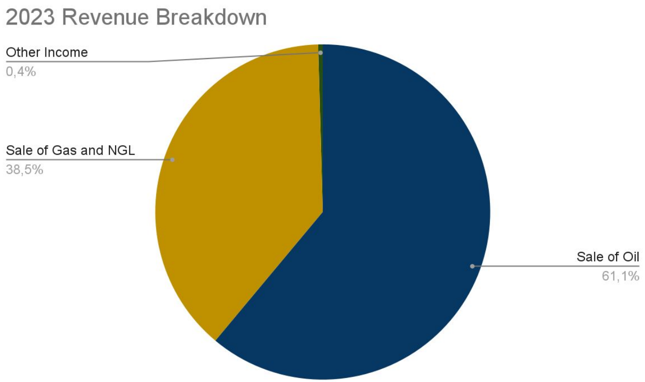
- Established in 2005, BlueNord ASA, formerly known as Norwegian Energy Company ASA or Noreco, is a European oil and gas company specializing in the North Sea region.
- Operating primarily in Norway, Denmark, and the UK, second largest oil and gas producer in Denmark.
- Holds a 36.8% non-operated working interest in the Danish Underground Consortium (DUC).
- The DUC is responsible for nearly 90% of the oil and gas production in the Danish North Sea.
- DUC includes 15 fields, four operational hubs, and export pipelines connecting to Danish and international markets.

BlueNord

Indicators	Value
Market cap	NOK 15,528.20 mm
Price	NOK 587.00
Beta	0.97

Company Segments

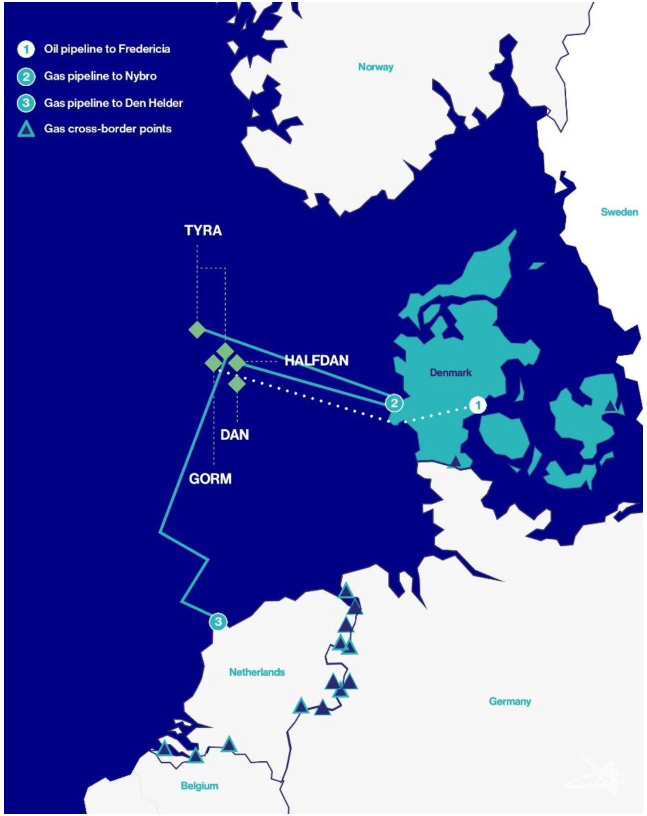
Business Divisions



<u>Key Revenue Components</u>

1) Sale of Oil – making up 61% of BlueNord's revenue as of 2023, oil continues to be the primary focus of BlueNord's business model.

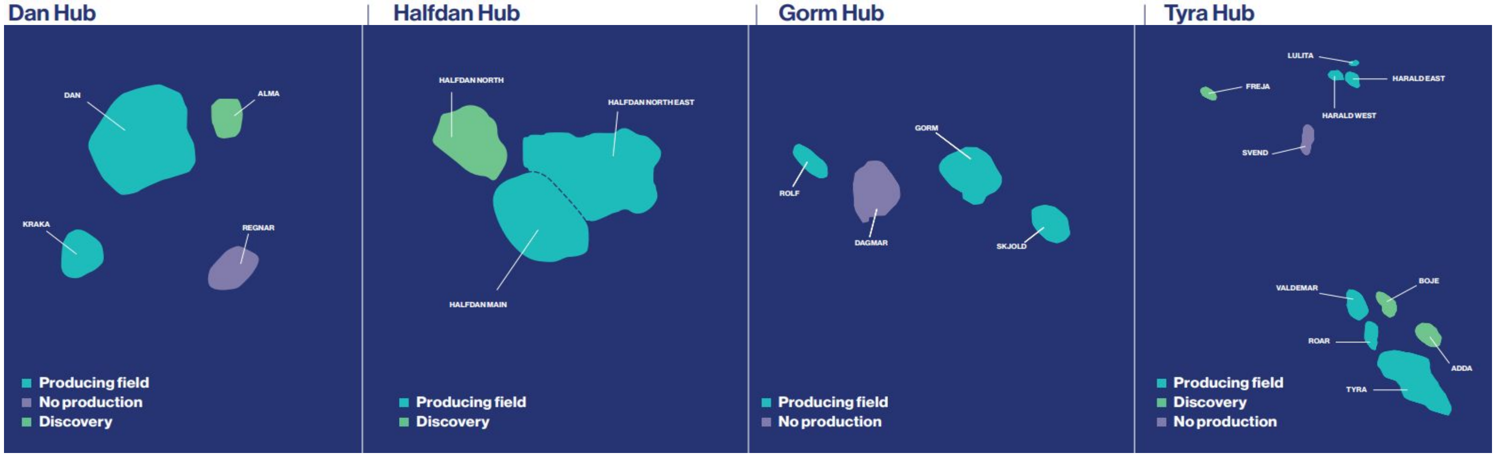
2) Sale of gas and NGL – making up 38.5% of BlueNord's revenue as of 2023, gas and NGL are similarly a significant focus of BlueNord's operations, particularly in the modern complex geopolitical context.



Company Outlook

Activities

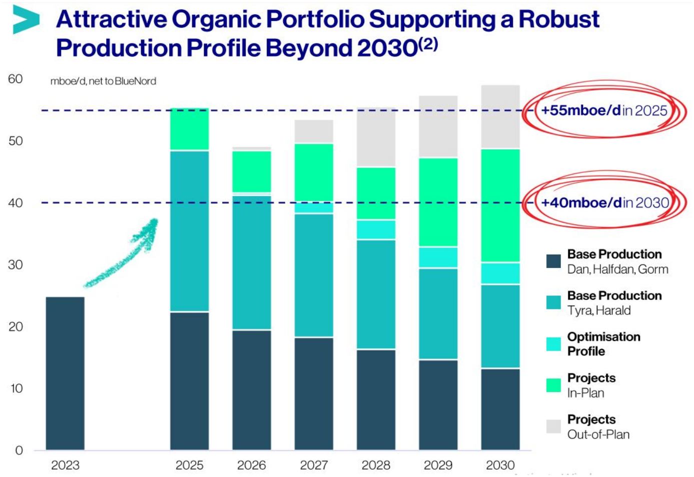
- BlueNord's operations rely primarily on the following 4 assets: Dan Hub, Halfdan Hub, Gorm Hub, and Tyra Hub.
- Tyra is a key gas producer for the EU and the largest gas field in the DUC, and BlueNord has invested over one billion USD during its re-modernisation (Tyra II project), ensuring a safer operation with 30% lower CO_2 emissions.
- After 7 years, the project was completed in March 2024 and is expected to reach its full production capacity before the end of Q4 2024.

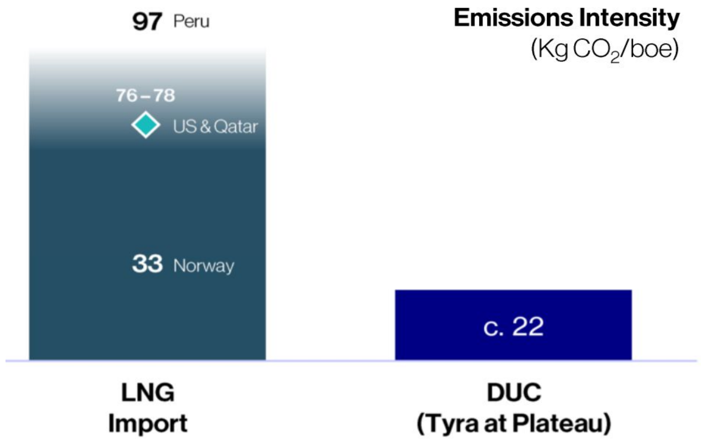


Company Outlook

Company Strategy

- Almost doubling the production by 2025 with gas weighting increasing to ~45%.
- Positive preliminary results on HEMJ Well with an estimated increase of an extra +8mmboe/d.
- Tyra will make Denmark self-sufficient and a net exporter of natural gas.
- Tyra facilities are expected to produce at lower emissions compared to LNG imports which carry >3x Emissions Intensity.





Industry Overview

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Industry Trends

Market Evolution

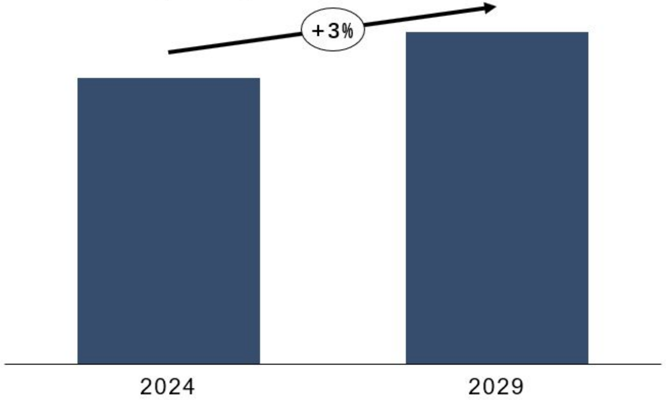
Key Trends in European Energy Market:

Energy Security: Europe is reducing reliance on Russian energy by increasing regional production and LNG imports.

Renewables Growth: Commitment to Net-Zero 2050 drives wind, solar, and hydrogen adoption.

Price Volatility: Gas prices spiked 300% after the war began, prompting investments in stable, sustainable solutions.

North Sea Region Oil and Gas Market
Market Size (CAGR)

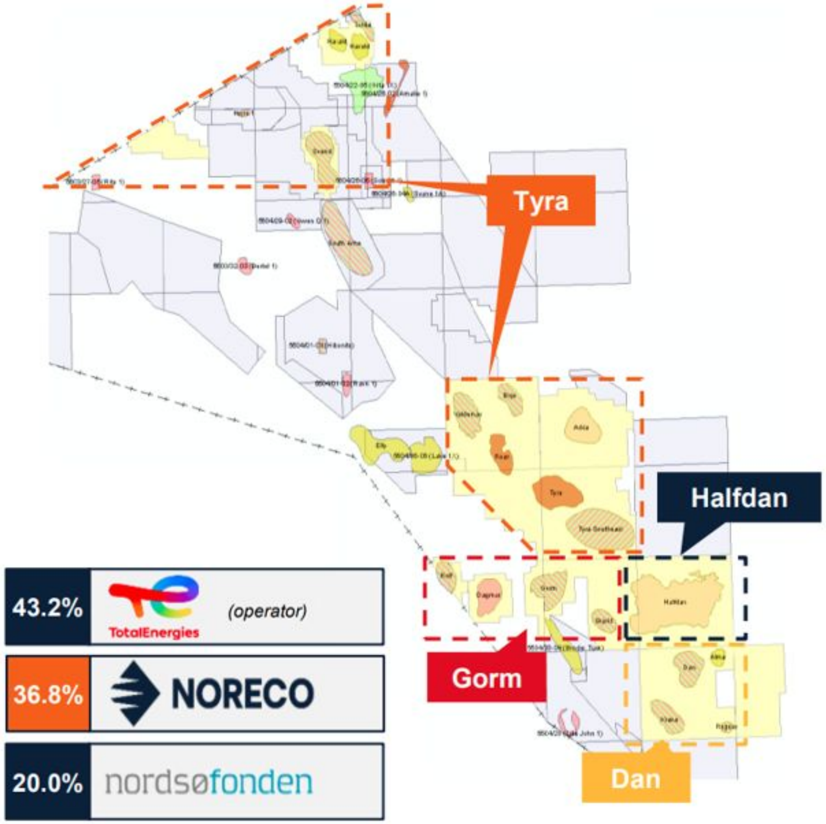


Source : Mordor Intelligence

What does it mean for BlueNord?

- **Strategically positioned** in the current geopolitical landscape, BlueNord is well-equipped to meet the rising demand for secure, local energy amidst **European supply disruptions** caused by the war in Ukraine.
- **Promising revenue stream**, driven by the stable fossil fuel industry and efficient operations, positions BlueNord to capitalize on elevated market opportunities.
- **Key player in the EU energy transition**, offering sustainable solutions with significantly lower carbon emissions, aligning with the region's climate objectives.

Competitive Landscape



Notable Competitors

- TotalEnergies Denmark A/S
  Subsidiary of the biggest energy company in France
  Focused on oil and natural gas production in the North Sea
  Focused on renewable energy in Denmark
  Biggest Competitor
  Operates in DUC
  Biggest share in the DUC

- Nordsøfonden
  Danish State-owned
  Investments in renewable energy
  Also operates in DUC

- Equinor ASA
  Biggest company in the North Sea
  Highly diversified portfolio
  Investments in hydrogen and renewables
  Targeting “Net-Zero” by 2050

Sustainability

Project Bifrost

The scope of the project Bifrost, which commenced in 2022, includes the development and selection of the CO_2 transport and storage concept at the DUC Harald field in the Danish North Sea. The project is expected to have a startup storage capacity of 3 million metric tons of CO_2 per year. In addition, Project Bifrost includes a study to qualify the potential use of additional DUC North Sea reservoirs as they become available, as well as the possibility to use the existing pipeline infrastructure connecting the DUC fields to Denmark.

Research Partnerships

The company and the DUC invests in R&D through partnerships with Danish Universities. Danish Offshore Technology Centre (DOTC) was founded by the DUC in 2014 and conducts research on sustainable and efficient production of oil and gas.

Work Conducted by the DOTC

- Cost effective abandonment of offshore oil and gas fields
- CO_2 Storage in Depleted Oil and Gas Fields
- Well production and technological improvements such as life extension of the wells
- Decrease the amount of CO_2 emitted per oil barrel produced by advanced water flooding
- The marine mammal research program initiated in 2013, aids researchers on biodiversity

Risks and Mitigants

Risks

- Donald Trump's announced policy of increasing US energy exports (LNG) could have significant impact on the global energy market.
- Production of oil and gas depends on a limited amount of offshore fields. Increased need for careful maintenance of the fields in case of a potential disruption or incident.
- Change in commodity prices have crucial impact on the company's financial performance.
- Danish energy industry is subject to more taxes than other industries.
- BlueNord entirely focuses on traditional energy sources. Risk of increased environmental regulations at any time.

Mitigants

- Extracting energy through the Tyra asset is more sustainable than importing from US.
- Ongoing inspection and maintenance plans in place to proactively maintain assets and minimise the risk of incidents.
- The company actively seeks to reduce the risk of changing commodity prices through hedging arrangements.
- There is a Compensation Agreement between the Danish state and the DUC such that the companies participating in the DUC are entitled to compensation for tax increases.
- BlueNord maintains a regular dialogue with the Danish Energy Agency as well as relevant government ministries.

Financial Analysis

Stock Price


Bluenord ASA
€50.20
↑117.32%
+27.10 5Y
Dec 4, 4:57:44 PM UTC+1 · EUR · FRA · Disclaimer
1D
5D
1M
6M
YTD
1Y
5Y
MAX
60
50
40
30
20
10
2020
2021
2022
2023
2024

Forward Comparables

Public Comparables Analysis ($ in Millions)

	Share Price	Shares Outstanding	Market Cap	Net Debt	Enterprise Value	Sales CAGR 23A-25E	EBIT Margin 2024E	EBIT Margin 2025E	Enterprise Value / EBIT 2024E	Enterprise Value / EBIT 2025E	Enterprise Value / Sales 2024E	Enterprise Value / Sales 2025E	Price / Earnings 2024E	Price / Earnings 2025E
DNO ASA	$0.9	975.0	$897.0	$ -143.00	$754.0	8.0%	15.7%	28.1%	6.5x	3.5x	1.0x	1.0x	9.2x	10.2x
Etablissements Maurel & Prom S.A.	$5.3	198.6	$1,048.6	$129.5	$1,178.1	(5.0%)	34.6%	33.8%	5.4x	5.6x	1.9x	1.9x	5.2x	6.1x
Ithaca Energy plc	$1.3	1,645.5	$2,172.1	$615.5	$2,787.6	9.3%	23.3%	41.9%	4.1x	2.7x	1.0x	1.1x	9.4x	6.9x
Diversified Energy Company PLC	$16.2	51.3	$833.1	$1,303.9	$2,137.0	11.4%	23.0%	22.8%	9.1x	9.2x	2.1x	2.1x	6.2x	9.1x
Energean plc	$12.9	183.5	$2,359.8	$2,939.5	$5,299.3	13.6%	44.3%	56.1%	6.5x	4.7x	2.9x	2.7x	7.7x	4.3x
Panoro Energy ASA	$2.4	115.7	$278.8	$42.0	$320.8	2.3%	43.5%	52.4%	2.2x	2.0x	1.0x	1.0x	4.2x	2.9x
Average			**$1,264.9**	**$814.6**	**$2,079.5**	**6.6%**	**30.7%**	**39.2%**	**5.6x**	**4.6x**	**1.6x**	**1.6x**	**7.0x**	**6.6x**
Median			**$972.8**	**$372.5**	**$1,657.6**	**8.6%**	**28.9%**	**37.9%**	**5.9x**	**4.1x**	**1.4x**	**1.5x**	**7.0x**	**6.5x**
BlueNord ASA	$53.17	26.5	$1,409.6	$1,024.9	$2,434.5	31.6%	37.0%	53.9%	6.1x	3.3x	2.2x	1.8x	12.6x	6.1x

- Average Market Cap.
- Highest projected Sales CAGR between 23A and 25E among the peer group (31.6%).
- An EBIT margin surpassing the average implies effective management of D&A.
- Above-average multiples suggest higher potential growth.

Financial Analysis

Income Statement Forecast

Income Statement ($ in Millions)								
	Fiscal Year Ended December 31,							
	2021A	2022A	2023A	2024E	2025E	2026E	2027E	2028E
Income Statement								
Revenue	$565	$967	$795	$1,085	$1,378	$1,229	$953	$1,129
% Growth		71.2%	(17.8%)	36.5%	26.9%	(10.8%)	(22.4%)	18.4%
Production Expenses	293	323	340	486	410	397	319	372
Other operating Expenses	23	32	34	30	32	32	31	31
Total operating Expenses	316	356	374	515	442	429	350	403
EBITDA	$249	$611	$421	$570	$936	$800	$603	$726
% EBITDA Margin	44.1%	63.2%	53.0%	52.5%	67.9%	65.1%	63.3%	64.3%
Depreciation and Amortization	112.3	133.5	102.6	168.7	194.1	174.2	139.2	161.3
EBIT	$136	$477	$319	$401	$742	$626	$464	$564
% EBIT Margin	24.2%	49.4%	40.1%	37.0%	53.9%	50.9%	48.7%	50.0%
Interest Expense	$160	$230	$98	$101	$79	$44	$10	$0
Interest Income	28	61	23	15	8	5	5	5
Total Other Expenses	$132	$169	$75	$87	$71	$39	$4	($5)
Earnings Before Taxes	$4	$309	$244	$315	$671	$587	$460	$569
Corporate Taxes	58	318	134	201	430	376	294	364
Net Earnings	($54)	($9)	$110	$113	$242	$211	$166	$205
% Net Margin	(9.6%)	(0.9%)	13.8%	10.4%	17.5%	17.2%	17.4%	18.2%
Metrics & Drivers								
Corporate Tax Rate	1,446.4%	103.0%	54.9%	64.0%	64.0%	64.0%	64.0%	64.0%

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WACC Calculation

Inputs	
Risk Free Rate	3.50%
Yield-to-Maturity of Debt	8.40%
Equity Risk Premium	5.00%
Beta	0.97
Effective Tax Rate	64.0%
Common Shares	26.5
Share Price	$53.17
Market Value of Debt	$1,192

Cost of Debt Calculation	
Pre-Tax Cost of Debt	8.4%
Effective Tax Rate	64.0%
After-Tax Cost of Debt	3.0%

Cost of Equity Calculation	
Risk Free Rate	3.5%
Equity Risk Premium	5.0%
Beta	0.97
Cost of Equity	8.3%

WACC Calculation	Amount	% Total	Cost of Capital
Market Value of Debt	$1,192	45.8%	3.0%
Market Value of Equity	1,410	54.2%	8.3%
Enterprise Value	$2,601	100.0%	**5.9%**

- 10 year Norwegian bond taken as an assumption for the Risk Free Rate.
- Equity Risk Premium obtained from Kroll and KPMG.
- Beta calculated by correlating BlueNord with Oslo OBX.

Financial Analysis

Target Stock Price

Valuation Summary ($ in Millions)

	Target Metric	Multiple	Enterprise Value	-	Net Debt	=	Equity Value	/	Shares Outstanding	=	Stock Price	Projected Upside
Discounted Cash Flow Analysis												
Perpetuity Method			$2,669.0		$1,024.9		$1,644.1		26.5		$62.0	16.6%
EBITDA Exit Multiple Method			$2,781.2		$1,024.9		$1,756.3		26.5		$66.2	24.6%
Current Valuation			**$2,434.5**		**$1,024.9**		**$1,409.6**		**26.5**		**$53.2**	

Enterprise Value

Terminal Growth Rate

WACC	0.6%	1.1%	1.6%	2.1%	2.6%
3.9%	3,611	4,183	4,999	6,256	8,446
4.9%	2,762	3,076	3,483	4,033	4,818
5.9%	2,232	2,427	**2,669**	2,968	3,360
6.9%	1,870	2,001	2,156	2,344	2,574
7.9%	1,607	1,700	1,808	1,934	2,084

- Projected Upside of between 16.6% and 24.6% with conservative assumptions.

Investment Thesis

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What Makes BlueNord an Attractive Investment?

- Strategically positioned to address the expected drops in supply in the modern unstable political landscape.
- Growing Net Production to satisfy projected increased demand due to the restart of Tyra II operations.
- Strong financial performance, with a +117,32% share price increase over the past 5 years, and a 49.88% EBITDA margin in Q3 2024.
- An effective option for EU energy transition, generating a quarter (28.95%) of CO_2 emissions compared to US LNG.

Decision: Buy (4-5 years)

Appendix 1

Detailed Revenue Forecast

Revenue Schedule ($ in Millions)

	Fiscal Year Ended December 31,							
	2021A	2022A	2023A	2024E	2025E	2026E	2027E	2028E
Revenue Schedule								
Oil-lifted volumes (mmbbl)	7.2	7.32	7.16	9.50	11.54	10.92	8.47	9.68
% Growth Rate		1.7%	(2.2%)	32.7%	21.4%	(5.4%)	(22.4%)	14.3%
Effective oil price USD/bbl	57.80	75.50	67.80	64	61	60	60	59
% Growth Rate		30.6%	(10.2%)	(5.0%)	(4.9%)	(1.3%)	- -	(2.0%)
Sale of Oil	416	553	485	612	707	660	512	574
% Growth Rate		32.8%	(12.2%)	26.1%	15.4%	(6.6%)	(22.4%)	12.1%
Gas lifted volumes (mmboe)	2.30	2.25	2.20	5.83	9.27	9.16	7.08	8.93
% Growth Rate		(2.2%)	(2.2%)	164.9%	59.0%	(1.2%)	(22.7%)	26.2%
Effective gas price USD/boe	61.50	181.10	139.10	80	72	62	62	62
% Growth Rate		194.5%	(23.2%)	(42.3%)	(10.4%)	(14.3%)	- -	- -
Sale of Gas and NGL	141	407	306	468	666	564	436	550
% Growth Rate		188.1%	(24.9%)	52.8%	42.4%	(15.3%)	(22.7%)	26.2%
Other income	7	6	4	6	5	5	5	5
Total Revenue	565	967	795	$1,085	$1,378	$1,229	$953	$1,129
Metrics & Drivers								
Mmboe total	9.50	9.57	9.36	15.33	20.81	20.08	15.55	18.62
Mboepd	26.03	26.22	25.64	42.00	57.00	55.00	42.60	51.00
Revenue per boe	21.69	36.86	31.00	25.85	24.17	22.34	22.38	22.14

Appendix 2

Detailed Production Expense Forecast

Production Expense Schedule ($ in Millions)

	Fiscal Year Ended December 31,							
	2021A	2022A	2023A	2024E	2025E	2026E	2027E	2028E
Production Expense Schedule								
Oil-lifted volumes (mmbbl)	7.20	7.32	7.16	9.50	11.54	10.92	8.47	9.68
Gas lifted volumes (mmboe)	2.30	2.25	2.20	5.83	9.27	9.16	7.08	8.93
Total produced mmboe	9.50	9.57	9.36	15.33	20.81	20.08	15.55	18.62
Direct field opex	210.9	233.1	243.8	371.0	270.5	261.0	202.1	242.0
Tariff and transportation expenses	44.3	43.3	34.9	66.0	87.1	81.8	65.1	77.2
Production general and administrative	41.8	32.1	17.3	30.4	26.6	24.8	27.3	26.2
Field operating cost	297.0	308.5	296.0	467.4	384.2	367.5	294.5	345.4
Total Unit/boe cost rate	31.26	32.24	31.62	30.49	18.46	18.31	18.94	18.56
Adjustments Expense (Profit)	(4.00)	14.80	44.10	18.30	25.73	29.38	24.47	26.53
Production Expense	293	323	340	486	410	397	319	372
Metrics & Drivers								
Revenue	564.5	966.5	795.0	1,085.5	1,377.8	1,228.8	953.3	1,129.0
Reported Unit/boe cost rate	30.20	31.60	32.50					
Direct field opex unit/boe cost rate	22.2	24.4	26.0	24.2	13.0	13.0	13.0	13.0
Reported Production expense	293	323	340					
Reported field operating cost	297.0	308.5	295.9					
Tariff and transportation expenses as x of production	4.7x	4.5x	3.7x	4.3x	4.2x	4.1x	4.2x	4.1x